

TSMC

Outperform

3Q26 preview: The core AI holding

Key Points

- N2 ramp-up appears to be progressing faster than our expectations.
- We expect strong N2 pricing to more than offset depreciation dilution, leaving room for GPM upside to guidance.
- GPM dilution risk from any potential Texas investment may anyway be further out than investors fear. We retain Outperform (Marquee buy).
- N2 ramp running ahead of plan.** Jul-Aug 2026 rev reached NT\$982bn, with a record NT\$515bn (+53% YoY) in Aug. Even a flat MoM rev in Sep would put 3Q26E rev ~2% above the top end of guidance (NT \$1.43tn-1.47tn). We believe N2 is the main driver. Mgmt had guided to a steep N2 ramp in 2H26, and [news reports](#) indicate TSMC is targeting first-year N2 output ~45% above N3's starting level.
- Pricing to more than offset depreciation dilution.** 3Q26 GPM guide of 65-67% already absorbs a 3-4ppt dilution from N2, mainly higher depreciation in COGS. We think the guide is conservative. N2 carries a meaningful price premium over N3, and faster loading spreads fixed costs sooner. We expect 3Q26E GPM at high end of guidance and N2 drag to narrow from 4Q26E.
- Overseas expansion's GPM impact to come later than feared.** According to [news reports](#), TSMC is reportedly evaluating a Texas investment on top of its US\$265bn Arizona commitment, with each fab costing at least US\$20bn. The plan apparently hinges on a US extension of advanced manufacturing tax credit expiring at end-2026. We think GPM impact would likely come later than investors fear. An advanced fab takes 5+ years from planning to volume output, so we see no Texas dilution before 2030. Near term, overseas dilution stays with Arizona, guided at 2-3ppt in early stages.
- What to watch on 15 Oct.** 4Q26 GPM guidance, N2 rev share, 2027 pricing, and the reported Texas timeline. N2 pricing power is the key source of margin upside into 2027.

Earnings changes: We raise 2026E/27E/28E net profit by 2%/5%/5% to reflect better-than-expected N2 ramp and ASP upside driven by stronger AI demand.

Valuation: We lift our TP 5% to NT\$4,410, from NT\$4,200, based on an unchanged 21x 2028E PE; we project 47% EPS CAGR over 2025-28E.

Catalysts: New capacity increases for N2/A16/A14; smart device replacement demand; new AI product launches.

Investment Thesis and Recommendation

Our three-year outlook remains very positive, underpinned by strong HPC/on-device AI demand growth, pricing power for future products, and continued market-share gains. [More TSMC research here.](#)

Semicons & Semicon Equip Taiwan



Arthur
Lai



Katherine
Zheng

2330 TT	Outperform
Price (at 6 Oct 2026)	TWD2,585
12-month target	TWD4,410.00
12-month TSR (%)	71.6
Volatility Index	Medium
Market Cap (Local) (m)	67,035,176
Market Cap (USD) (m)	2,110,779
Free Float (%)	93
30-day avg turnover (USD) (m)	1,542.3

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	3,809	5,612	8,534	11,512
Revenue growth (%)	31.6	47.3	52.1	34.9
EBIT (bn)	1,936	3,345	5,077	6,383
EBIT growth (%)	46.4	72.8	51.8	25.7
Reported profit (bn)	1,718	2,936	4,334	5,440
Adjusted profit (bn)	1,718	2,936	4,334	5,440
EPS rep [TWD]	66.2	113.2	167.1	209.8
EPS rep growth (%)	46.4	70.9	47.6	25.5
Net debt/equity (%)	(31.8)	(40.4)	(51.6)	(60.7)
ROA (%)	26.5	34.4	36.5	33.0
ROE (%)	35.4	44.5	45.2	39.6
PER rep (x)	39.0	22.8	15.5	12.3
EV/EBITDA (x)	24.6	15.3	10.1	7.8
P/BV (x)	12.4	8.6	5.9	4.2
Total div yield (%)	0.7	0.9	1.0	1.2

Quant (rank vs. global sector) 2 / 705

2330 TT rel TAIEX performance, & rec history



Source: FactSet, Macquarie Research, Oct 2026 (all figures in TWD unless noted, TP in TWD)

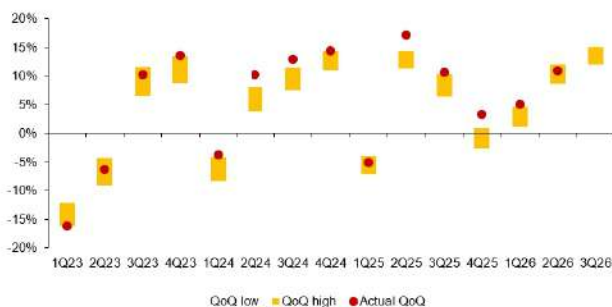
Key Risks to Investment Thesis

- A larger/longer inventory correction.
- End-demand weakening more than we expect.
- Higher-than-expected material costs/inflation.
- Unfavourable FX movements.

Company Description

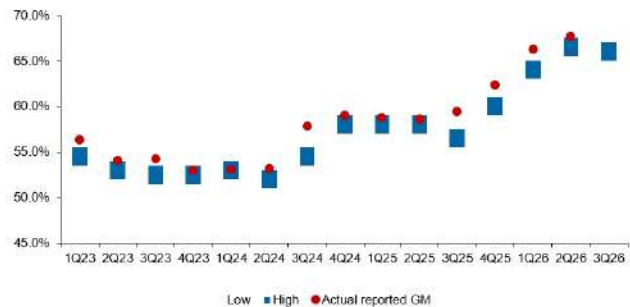
TSMC is the world's largest semiconductor foundry with over 50% market share. It has a diversified exposure to Mobile processors (Apple, Mediatek, Qualcomm), High Performance Computing (AMD, AWS, Broadcom, Intel, Nvidia), Automotives (MobilEye, STMicro, Tesla) and Industrial and Consumer electronics. TSMC has over 90% market share in leading-edge EUV nodes. The majority of its capacity is located in Taiwan, but some is also in China, Japan and the USA.

Figure 1 - TSMC revenue QoQ guidance vs actual



Source: TSMC, Macquarie Research, Oct 2026

Figure 2 - TSMC GPM guidance vs actual



Source: TSMC, Macquarie Research, Oct 2026

TSMC (2330 TT) TWD/(bn) unless otherwise noted

Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q2/26A	Q3/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		3,809	5,612	8,534	11,512	1,270	1,504	Cash	2,768	4,260	7,237	11,311
Cost of Goods Sold		1,528	1,845	2,834	4,282	410.1	490.3	Receivables	282.1	896.0	1,231	1,692
Gross Profit		2,281	3,767	5,700	7,230	860.3	1,014	Inventories	288.1	466.7	641.3	881.0
EBITDA		2,624	4,227	6,390	8,293	965.1	1,151	Investments	473.1	611.7	611.7	611.7
Depreciation		679.7	872.7	1,303	1,899	196.2	245.2	Fixed Assets	3,692	4,916	6,163	7,454
Amortisation		8.4	9.1	9.4	10.2	2.3	2.4	Intangibles	49.9	48.1	48.1	48.1
EBIT		1,936	3,345	5,077	6,383	766.6	903.0	Other Assets	380.1	324.3	359.2	407.2
Net Interest Income		93.4	102.1	104.8	169.8	27.0	22.6	Total Assets	7,933	11,523	16,292	22,404
Associates		5.5	5.7	5.2	4.0	1.4	1.3	Payables	767.6	1,773	2,437	3,348
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	136.9	170.9	206.3	238.0
Forex Gains / Losses		13.8	6.6	0.0	0.0	0.4	0.0	Long Term Debt	896.1	926.0	1,118	1,289
Other Pre-Tax Income		(7.1)	61.8	0.0	0.0	67.0	0.0	Other Liabilities	671.7	832.5	1,077	1,413
Pre-Tax Profit		2,042	3,521	5,187	6,557	862.4	926.8	Total Liabilities	2,472	3,703	4,838	6,288
Tax Expense		(326.3)	(586.0)	(855.9)	(1,115)	(155.6)	(148.3)	Shareholders' Funds	5,363	7,656	11,290	15,952
Net Profit		1,715	2,935	4,331	5,442	706.8	778.5	Minority Interests	41.2	42.0	42.0	42.0
Minority Interests		2.5	0.4	2.6	(2.0)	(0.2)	0.5	Other	56.8	122.1	122.1	122.1
Reported Earnings		1,718	2,936	4,334	5,440	706.6	779.0	Total S/H Equity	5,461	7,820	11,454	16,116
Adjusted Earnings		1,718	2,936	4,334	5,440	706.6	779.0	Total Liab & S/H Funds	7,933	11,523	16,292	22,404
Basic Shares Outstanding		25.9	25.9	25.9	25.9	25.9	25.9	Net Debt / Equity (%)	(31.8)	(40.4)	(51.6)	(60.7)
Diluted Shares Outstanding		25.9	25.9	25.9	25.9	25.9	25.9	ROE (%)	35.4	44.5	45.2	39.6
EPS (rep) [TWD]		66.2	113.2	167.1	209.8	27.2	30.0	ROA (%)	26.5	34.4	36.5	33.0
Total DPS [TWD]		18.0	23.0	27.0	30.0	6.0	6.0	ROIC (%)	50.6	74.8	91.0	95.6
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		31.6	47.3	52.1	34.9	-	-	EBITDA	2,624	4,227	6,390	8,293
EBITDA Growth (%)		32.2	61.1	51.2	29.8	-	-	Tax Paid	(326.3)	(586.0)	(855.9)	(1,115)
EBIT Growth (%)		46.4	72.8	51.8	25.7	-	-	Chgs in Working Cap	34.2	398.2	363.1	498.7
EPS Growth (adj) (%)		46.4	70.9	47.6	25.5	-	-	Net Interest Paid	93.4	102.1	104.8	169.8
Gross Profit Margin (%)		59.9	67.1	66.8	62.8	-	-	Other	(150.5)	(156.2)	7.8	2.0
EBITDA Margin (%)		68.9	75.3	74.9	72.0	-	-	Operating Cashflow	2,275	3,985	6,010	7,849
EBIT Margin (%)		50.8	59.6	59.5	55.4	-	-	Acquisitions	(29.7)	(138.6)	0.0	0.0
Net Profit Margin (%)		45.1	52.3	50.8	47.3	-	-	Capex	(1,272)	(1,978)	(2,560)	(3,200)
Payout Ratio (%)		27.2	20.3	16.2	14.3	-	-	Other	157.7	135.7	0.0	0.0
PE (rep) (x)		39.0	22.8	15.5	12.3	-	-	Investing Cashflow	(1,144)	(1,981)	(2,560)	(3,200)
EV/EBITDA (x)		24.6	15.3	10.1	7.8	-	-	Dividend (Ordinary)	(466.8)	(596.4)	(700.2)	(778.0)
EV/EBIT (x)		33.3	19.3	12.7	10.1	-	-	Equity Raised	0.0	0.0	0.0	0.0
Price/Book (x)		12.4	8.6	5.9	4.2	-	-	Debt Movements	14.7	64.0	227.0	203.3
Total Div Yield (%)		0.7	0.9	1.0	1.2	-	-	Other	11.7	(18.0)	0.0	0.0
								Financing Cashflow	(440.3)	(550.5)	(473.2)	(574.7)
								Net Chg in Cash/Debt	640.2	1,492	2,977	4,074
								Free Cashflow	1,003	2,007	3,450	4,649

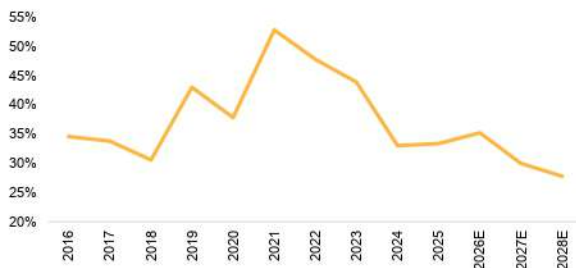
Source: Company data, Macquarie Research Oct 2026

Figure 3 - TSMC revision snapshot

(NT\$m)	FY26			FY27			FY28		
	New	old	change	New	old	change	New	old	change
Revenue	5,611,930	5,498,290	2%	8,534,416	8,211,676	4%	11,512,006	11,076,210	4%
Gross profit	3,766,862	3,687,754	2%	5,700,266	5,483,644	4%	7,229,540	6,952,394	4%
Op profit	3,345,183	3,263,493	3%	5,077,360	4,849,395	5%	6,383,299	6,086,238	5%
Pretax profit	3,521,391	3,441,259	2%	5,187,342	4,955,782	5%	6,557,104	6,249,566	5%
Net profit	2,935,803	2,868,047	2%	4,334,024	4,138,078	5%	5,440,429	5,187,139	5%
Margins									
Gross margin	67.1%	67.1%	6 bps	66.8%	66.8%	2 bps	62.8%	62.8%	4 bps
Op margin	59.6%	59.4%	26 bps	59.5%	59.1%	44 bps	55.4%	54.9%	51 bps
Net margin	52.3%	52.2%	16 bps	50.8%	50.4%	40 bps	47.3%	46.8%	43 bps

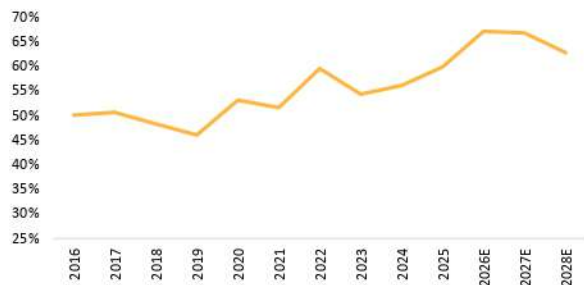
Source: TSMC, Macquarie Research, Oct 2026

Figure 4 - TSMC: Capex to revenue ratio



Source: TSMC, Macquarie Research, Oct 2026

Figure 5 - TSMC: GPM trend



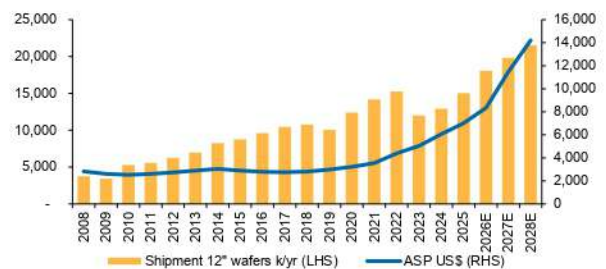
Source: TSMC, Macquarie Research, Oct 2026

Figure 6 - TSMC: Revenue in NT\$b and margins



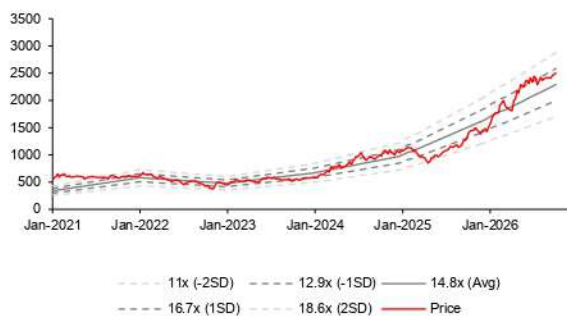
Source: TSMC, Macquarie Research, Oct 2026

Figure 7 - TSMC: Wafer shipment, ASP



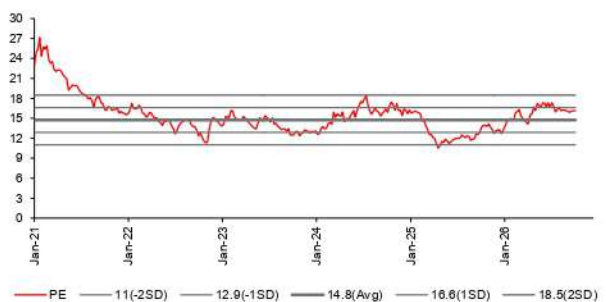
Source: TSMC, Macquarie Research, Oct 2026

Figure 8 - TSMC: 12-month forward PEX



Source: Factset, Macquarie Research, Oct 2026

Figure 9 - TSMC: 12-month Forward PE band



Source: Factset, Macquarie Research, Oct 2026

Key Quant Findings (top 5% of the Macquarie Quant Alpha model)

The quant model currently holds a strong positive view on TSMC. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

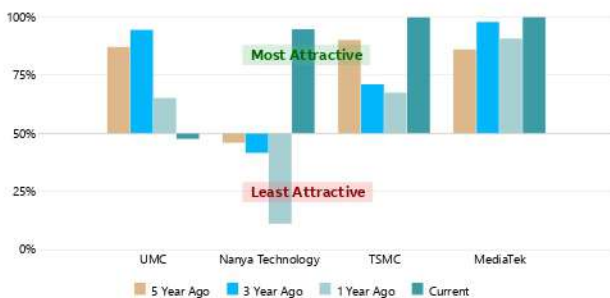
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Taiwan	Semiconductors & Semiconductor Equip.
Macquarie Alpha Model	2/18805	2/987	2/705
Fundamental (Consensus) *	2828/18805	78/987	140/705

* based on Total Shareholder Return = Consensus Price target / Current Price

Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



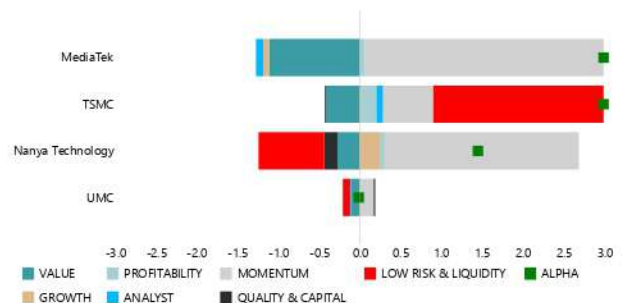
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/705)	market (/987)	
ALPHA	100%	100%	Built from the styles below
VALUE	70%	20%	Book, CF, Yield, Earnings Multiples
ANALYST	83%	97%	Revisions (Earnings, Recommendations)
MOMENTUM	60%	88%	Price Momentum
GROWTH	55%	75%	EPS, Sales (Forecast, Historic)
PROFITABILITY	96%	99%	ROE, Margin, Asset Turnover
QUALITY	81%	91%	Accruals, Earn Stability, Cash Conversion
CAPITAL	60%	22%	Investment/Capex, Net share issuance
LIQUIDITY	100%	100%	Size, Turnover, Analyst Coverage
LOW RISK	88%	75%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	60%	41%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

	Monthly Factor Long-Short Return for												Last 5 Years (ann)	Last 10 Years (ann)
	Sep-25	Aug-25	Jul-25	Jun-25	May-25	Apr-25	Mar-25	Feb-25	Jan-25	Dec-24	Nov-24	Oct-24		
ALPHA	5%	6%	10%	1%	3%	3%	4%	0%	0%	3%	3%	2%	11%	7%
VALUE	2%	1%	19%	-9%	1%	-7%	6%	0%	-2%	3%	5%	4%	13%	5%
ANALYST	1%	14%	-12%	7%	4%	12%	-2%	0%	6%	5%	-2%	3%	16%	14%
MOMENTUM	1%	14%	-13%	15%	17%	19%	-4%	5%	8%	6%	-1%	-2%	-1%	4%
GROWTH	-3%	8%	-19%	9%	7%	7%	-4%	-1%	4%	2%	-2%	0%	4%	2%
PROFITABILITY	1%	1%	3%	6%	1%	-4%	3%	0%	-4%	1%	3%	0%	-2%	-2%
QUALITY	2%	0%	7%	-3%	-2%	-4%	2%	-1%	-4%	-1%	1%	-4%	-4%	-2%
CAPITAL	1%	-7%	14%	-7%	-1%	-12%	2%	-2%	2%	-1%	3%	-3%	2%	-4%
LIQUIDITY	2%	-1%	-11%	8%	10%	7%	-1%	3%	1%	2%	-1%	-1%	-2%	3%
LOW RISK	5%	-13%	29%	-6%	-8%	-13%	6%	-2%	-8%	-2%	5%	1%	-7%	-7%

Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: macquarieequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60–100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40–60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25–40% in a year. Low – stock should be expected to move up or down at least 15–25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / <i>efpowa</i> * ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 30 Sept 2026

	AU/NZ	Asia	USA	
Outperform	62.24%	73.44%	63.24%	(for global coverage by Macquarie, 1.61% of stocks followed are investment banking clients)
Neutral	30.77%	14.98%	36.76%	(for global coverage by Macquarie, 0.41% of stocks followed are investment banking clients)
Underperform	6.99%	11.58%	0.00%	(for global coverage by Macquarie, 0.82% of stocks followed are investment banking clients)

Company-Specific Disclosures

Company Name	Disclosure
TSMC (2330 TT) Outperform 12-month target: TWD4,410.00 - PER Valuation: TWD 4,410.00 - PER Price: TWD2,585	None

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Recommendation history

Company name	Date	Recommendation	Target price
TSMC (2330 TT)	6-Oct-2026	Outperform	TWD 4410.00
	16-Jul-2026	Outperform	TWD 4200.00
	18-Jun-2026	Outperform	TWD 3380.00
	16-Apr-2026	Outperform	TWD 2550.00
	16-Jan-2026	Outperform	TWD 2400.00
	6-Jan-2026	Outperform	TWD 2150.00
	16-Oct-2025	Outperform	TWD 1710.00
	3-Oct-2025	Outperform	TWD 1620.00
	17-Jul-2025	Outperform	TWD 1310.00



7-Jul-2025	Outperform	TWD 1282.00
18-Apr-2025	Outperform	TWD 1125.00
10-Apr-2025	Outperform	TWD 990.00
7-Jan-2025	Outperform	TWD 1450.00
18-Oct-2024	Outperform	TWD 1500.00
10-Oct-2024	Outperform	TWD 1350.00
19-Jul-2024	Outperform	TWD 1295.00
5-Jul-2024	Outperform	TWD 1280.00
19-Apr-2024	Outperform	TWD 1000.00
18-Jan-2024	Outperform	TWD 710.31
19-Oct-2023	Outperform	TWD 725.43

Sensitivity analysis:

Clients receiving this report can request access to a model which allows for further in-depth analysis of the assumptions used, and recommendations made, by the author relating to the subject companies covered. Contact <https://www.macquarieinsights.com/contacts> for access requests.

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